

DRAFT RED HERRING PROSPECTUS

SUNRISE SPECIALTY CHEMICALS LTD

CIN: U24100MH2019PLC312456 | PAN: AABCS1234D

Incorporated on: 2019-03-15 | Chemicals & Specialty

Issue Parameter	Details
Total Issue Size	■ 48.00 Crore
Fresh Issue Component	■ 38.00 Crore
OFS Component	■ 10.00 Crore
Face Value	■ 10 per share
Price Band	■ 140 to ■ 148
Lot Size	1,000 shares
Lead Manager	Arihant Capital Markets Ltd (SEBI Reg. No. MB/INM000011018)
Listing Exchange	NSE Emerge

Registered Office: Plot No. 45, MIDC Industrial Area, Tarapur, Palghar, Maharashtra 401506

Website: <https://sunrisespecialty.example.com>

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Data Accuracy: Financial data presented in this document is based on information provided by the company. The AI authoring system does not independently verify source documents. All financial statements must be audited by a qualified CA firm.

TABLE OF CONTENTS

See section headings throughout this document.

PART I — GENERAL INFORMATION

1. Cover Page

See preceding pages.

2. Disclaimer

See preceding pages.

3. Table of Contents

See preceding pages.

4. Definitions and Abbreviations

Information Not Provided — This section (Definitions and Abbreviations) requires human drafting before SEBI filing.

5. Forward-Looking Statements

Information Not Provided — This section (Forward-Looking Statements) requires human drafting before SEBI filing.

PART II — ISSUE SUMMARY

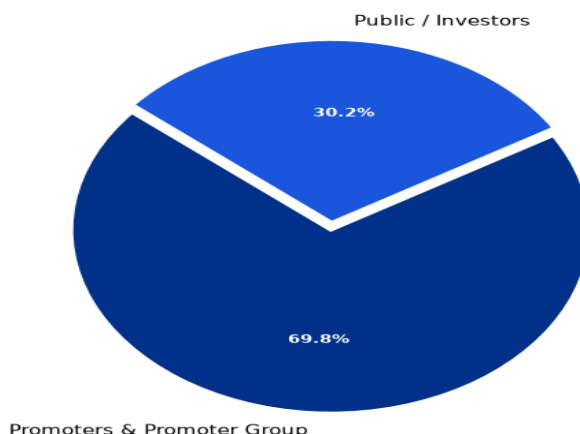
6. Issue Summary

Information Not Provided — This section (Issue Summary) requires human drafting before SEBI filing.

7. Capital Structure

Name	Designation	Pre-Issue Holding (%)
Mr. Rajesh Sharma	Chairman and Managing Director	58.50%
Mrs. Priya Sharma	Whole-Time Director	11.25%
Total Promoter Group		69.75%

Parameter	Value
Total Issue Size	■ 48.00 Crore
Fresh Issue	■ 38.00 Crore
Offer for Sale (OFS)	■ 10.00 Crore
Face Value per Share	■ 10
Price Band	■ 140 to ■ 148

Post-Issue Shareholding Pattern

PART III — RISK FACTORS

8. Risk Factors

Investors should carefully consider the following risk factors before investing:

Industry Risks

- The specialty chemicals industry is subject to stringent environmental regulations from the Pollution Control Board and CPCB. Any change in regulations may increase compliance costs or require capital expenditure for upgrades.
- Raw material costs are subject to price volatility, particularly crude oil derivatives and imported chemical precursors, which may affect operating margins.

Business Risks

- The Company derives a significant portion of revenues from a limited number of pharmaceutical customers. Loss of any key customer could materially impact revenues.
- The Company's manufacturing facility is located at a single location. Any disruption due to natural disaster, fire, or regulatory action could materially affect operations.

Financial Risks

- The Company has outstanding debt of INR 2,500 Lakhs as of FY2023-24. Interest rate increases may affect financing costs.

[Information Not Provided: Provide complete list of 30+ risk factors as per SEBI ICDR Regulation 33]

PART IV — INTRODUCTION

9. Business Overview

Sunrise Specialty Chemicals Ltd (the "Company") is a specialty chemicals manufacturer based in Maharashtra, India. The Company manufactures API intermediates and specialty chemical compounds primarily for the pharmaceutical and agrochemical sectors.

The Company has demonstrated consistent revenue growth from INR 3,850 Lakhs in FY2021-22 to INR 6,280 Lakhs in FY2023-24, representing a revenue CAGR of approximately 27.7% over the last two financial years.

The Company operates a manufacturing facility at Tarapur MIDC, Maharashtra with a current production capacity of 3,600 MTPA.

10. Business Model and Revenue Streams

Information Not Provided — This section (Business Model and Revenue Streams) requires human drafting before SEBI filing.

11. Competitive Strengths

Information Not Provided — This section (Competitive Strengths) requires human drafting before SEBI filing.

12. Our Strategies

Information Not Provided — This section (Our Strategies) requires human drafting before SEBI filing.

13. Industry Overview

Information Not Provided — This section (Industry Overview) requires human drafting before SEBI filing.

14. Market Opportunity

Information Not Provided — This section (Market Opportunity) requires human drafting before SEBI filing.

PART V — ABOUT OUR COMPANY

15. Corporate Structure

Information Not Provided — This section (Corporate Structure) requires human drafting before SEBI filing.

16. Promoters and Promoter Group

Mr. Rajesh Sharma (Chairman and Managing Director) and Mrs. Priya Sharma (Whole-Time Director) are the Promoters of the Company. They collectively hold 69.75% of the pre-issue paid-up equity share capital.

Mr. Rajesh Sharma has over 22 years of experience in the chemical industry. He holds a B.E. in Chemical Engineering and an MBA in Finance.

Mrs. Priya Sharma has over 16 years of experience in chemical research and manufacturing quality systems. She holds an M.Sc. in Chemistry.

[Information Not Provided: Promoter addresses, DIN numbers, PAN details, educational certificates, other business interests as per SEBI ICDR Schedule VI]

17. Board of Directors and Management

Information Not Provided — This section (Board of Directors and Management) requires human drafting before SEBI filing.

18. Human Resources and Employees

Information Not Provided — This section (Human Resources and Employees) requires human drafting before SEBI filing.

19. Products and Services

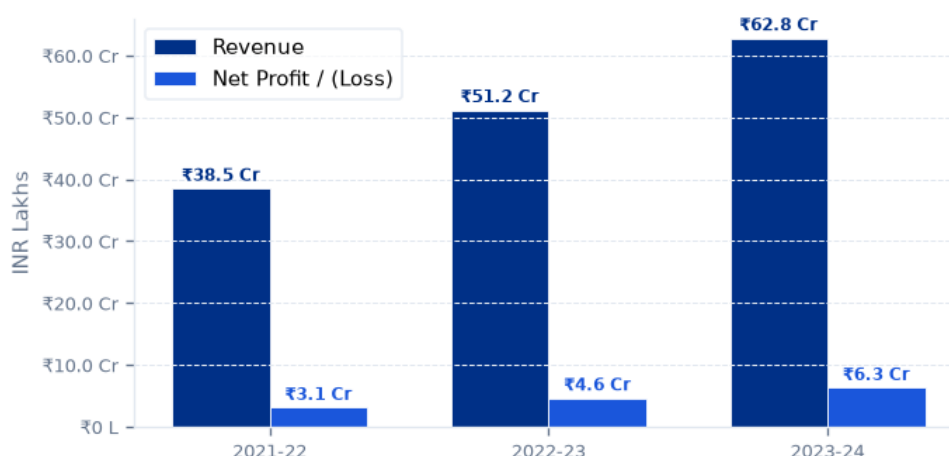
Information Not Provided — This section (Products and Services) requires human drafting before SEBI filing.

PART VI — FINANCIAL INFORMATION

20. Audited Financial Statements

Particulars (INR Lakhs)	2021-22	2022-23	2023-24
Revenue from Operations	■ 3,850.00 Lakhs	■ 5,120.00 Lakhs	■ 6,280.00 Lakhs
EBITDA	■ 616.00 Lakhs	■ 921.60 Lakhs	■ 1,130.40 Lakhs
Net Profit / (Loss) after Tax	■ 308.00 Lakhs	■ 461.00 Lakhs	■ 628.00 Lakhs
Total Assets	■ 5,200.00 Lakhs	■ 6,800.00 Lakhs	■ 8,400.00 Lakhs
Total Equity / Net Worth	■ 2,800.00 Lakhs	■ 3,650.00 Lakhs	■ 4,800.00 Lakhs
Total Debt	■ 1,800.00 Lakhs	■ 2,200.00 Lakhs	■ 2,500.00 Lakhs

Revenue vs. Net Profit / (Loss) — 3 Year Trend



21. Management Discussion and Analysis

Revenue Performance

The Company's revenue from operations grew from INR 3,850 Lakhs in FY2021-22 to INR 6,280 Lakhs in FY2023-24, driven by increased demand from pharmaceutical customers and expansion of the product portfolio.

Profitability

EBITDA improved from INR 616 Lakhs (16.0% margin) in FY2021-22 to INR 1,130.4 Lakhs (18.0% margin) in FY2023-24. Net profit after tax grew from INR 308 Lakhs to INR 628 Lakhs over the same period.

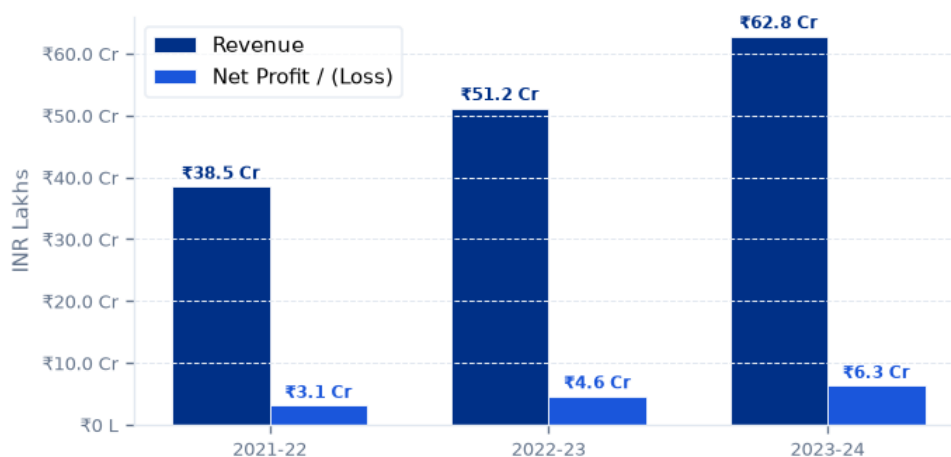
Financial Position

Total assets increased from INR 5,200 Lakhs to INR 8,400 Lakhs. Net worth improved from INR 2,800 Lakhs to INR 4,800 Lakhs. The debt-to-equity ratio improved from 0.64x to 0.52x, reflecting improved leverage metrics.

Outlook

The Company intends to use the IPO proceeds to expand manufacturing capacity from 3,600 MTPA to 6,200 MTPA, which is expected to drive revenue growth over FY2025-26 and FY2026-27.

Revenue vs. Net Profit / (Loss) — 3 Year Trend



22. Key Financial Ratios

Profitability

Metric	Value	Benchmark / Context
EBITDA Margin	18.00%	Manufacturing: 12-20%; Services: 15-30%; SME typical: 8-18%
PAT Margin	10.00%	Manufacturing: 5-12%; Services: 8-20%; SME IPO median: 6-10%
Gross Profit Margin	Missing Information	Manufacturing: 20-40%; Services: 40-70%
Return on Equity (ROE)	13.08%	SME IPO median: 15-25%; Good: >20%; Strong: >30%
Return on Capital Employed (ROCE)	13.01%	SME: 12-20%; Good: >18%; Strong: >25%

Liquidity

Metric	Value	Benchmark / Context
Current Ratio	2.43x	Healthy: 1.5x-3.0x; Minimum acceptable: >1.0x
Quick Ratio	2.43x	Healthy: >1.0x; Cautionary: 0.7x-1.0x
Cash Ratio	Missing Information	Typically 0.1x-0.5x; Very high may indicate inefficient cash deployment

Leverage

Metric	Value	Benchmark / Context
Debt/Equity Ratio	0.52x	Low risk: <0.5x; Moderate: 0.5x-1.5x; High: >2.0x
Debt/EBITDA	2.21x	Low: <2.0x; Moderate: 2-4x; High: >5x
Interest Coverage Ratio	4.05x	Safe: >3.0x; Cautionary: 1.5x-3.0x; Distressed: <1.5x

Efficiency

Metric	Value	Benchmark / Context
Asset Turnover Ratio	0.75x	Manufacturing: 0.8-1.5x; Services: 1.5-3.0x
Inventory Days	Missing Information	Industry-dependent; Manufacturing: 30-90 days; Services: minimal
Receivable Days (DSO)	Missing Information	Good: <45 days; Acceptable: 45-90 days; Concern: >90 days
Payable Days (DPO)	Missing Information	Balanced: 30-60 days
Cash Conversion Cycle	Missing Information	Lower is generally better; Negative CCC is excellent

IPO Metrics

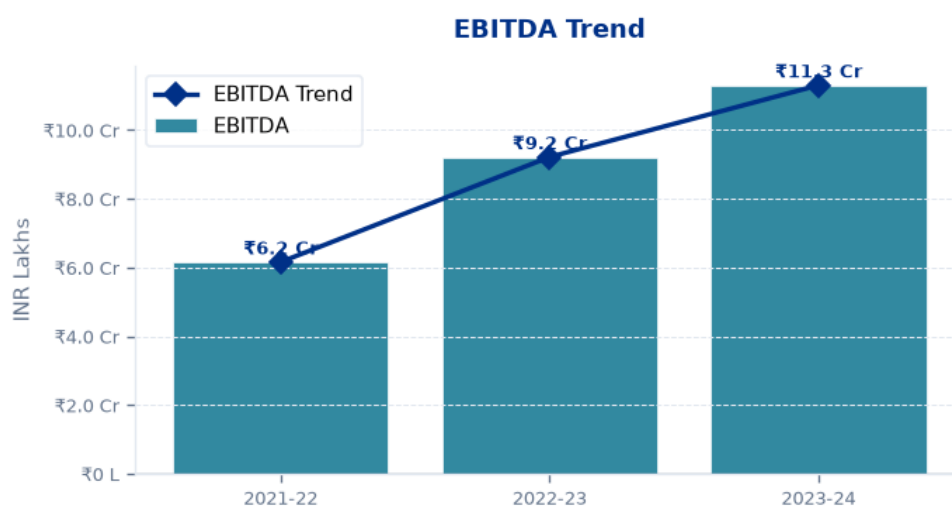
Metric	Value	Benchmark / Context
Earnings Per Share (EPS)	■12.56	Varies by sector; P/E is typically applied to EPS for valuation
Book Value per Share	■96.00	Varies; P/B ratio indicates premium/discount to book

Growth

Metric	Value	Benchmark / Context
Revenue CAGR	27.72%	High growth: >20%; Moderate: 10-20%; Low: <10%
PAT CAGR	42.79%	High growth: >20%; Moderate: 10-20%; Low: <10%
EBITDA CAGR	35.46%	High growth: >20%; Moderate: 10-20%; Low: <10%

Quality

Metric	Value	Benchmark / Context
Altman Z-Score	Missing Information	—



23. Related Party Transactions

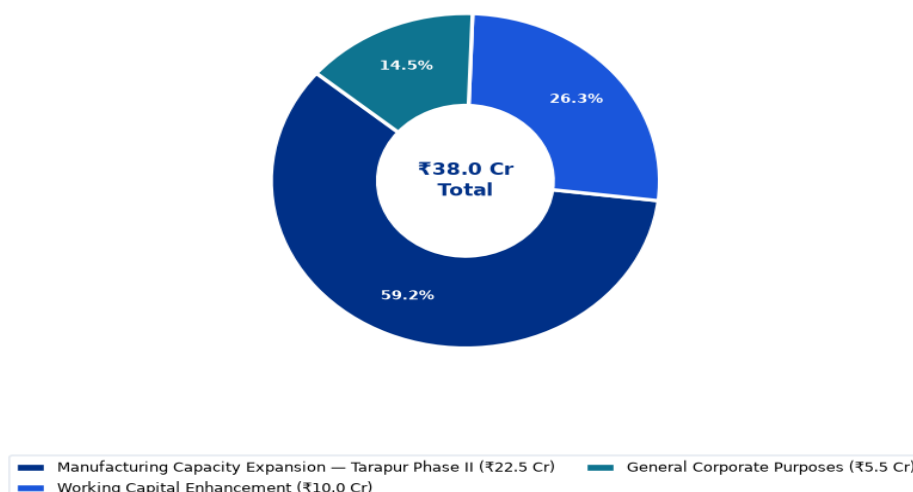
Information Not Provided — This section (Related Party Transactions) requires human drafting before SEBI filing.

PART VII — ISSUE INFORMATION

24. Objects of the Issue and Use of Proceeds

The net proceeds from the Fresh Issue of INR 38.00 Crore are proposed to be deployed for: (a) Capital expenditure towards expansion of manufacturing capacity at Tarapur — INR 22.50 Crore; (b) Working capital requirements for increased production — INR 10.00 Crore; (c) General corporate purposes — INR 5.50 Crore.

Purpose	Amount (INR Lakhs)	Timeline (Months)
Manufacturing Capacity Expansion — Tarapur Phase II	2,250.00	18
Working Capital Enhancement	1,000.00	6
General Corporate Purposes	550.00	12
Total	3,800.00	

Objects of Issue — Fund Utilization**25. Issue Procedure**

Information Not Provided — This section (Issue Procedure) requires human drafting before SEBI filing.

26. Basis for Issue Price

Information Not Provided — This section (Basis for Issue Price) requires human drafting before SEBI filing.

27. Dividend Policy

Information Not Provided — This section (Dividend Policy) requires human drafting before SEBI filing.

PART VIII — LEGAL AND OTHER INFORMATION**28. Outstanding Litigation and Regulatory Actions**

Information Not Provided — This section (Outstanding Litigation and Regulatory Actions) requires human drafting before SEBI filing.

29. Government and Statutory Approvals

Information Not Provided — This section (Government and Statutory Approvals) requires human drafting before SEBI filing.

30. Material Contracts

Information Not Provided — This section (Material Contracts) requires human drafting before SEBI filing.

PART IX — OTHER REGULATORY DISCLOSURES

31. Corporate Governance

Information Not Provided — This section (Corporate Governance) requires human drafting before SEBI filing.

32. SEBI ICDR Compliance Matrix

Information Not Provided — This section (SEBI ICDR Compliance Matrix) requires human drafting before SEBI filing.

33. Material Developments

Information Not Provided — This section (Material Developments) requires human drafting before SEBI filing.

PART X — ANNEXURES

34. Declaration

Information Not Provided — This section (Declaration) requires human drafting before SEBI filing.

END OF DRAFT RED HERRING PROSPECTUS

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